Portfolio Proposal

Prepared for **Mr Chan Tai Man** (fictional client), age 62 · 30 October 2026 · RiskFit Private Wealth Proposal Engine

Your risk profile

Conservative

Level 1 of 5. Protecting capital matters most. Accepts low returns to keep losses small.

Investment amount	**USD 800,000**
Attitude to risk score	**10 out of 25**
Investment horizon	**3 to 5 years**
Largest loss you can accept	**Up to 15%**
Cash needs (next 12 months)	**May withdraw up to 10%**

Recommended allocation



Asset class	Weight	Amount
Equities (US large-cap) SPY ETF	**18%**	USD 147,000
Investment-grade bonds AGG ETF	**42%**	USD 334,000
Cash (T-bills) BIL ETF	**35%**	USD 279,000
Gold GLD ETF	**5%**	USD 40,000

What to expect

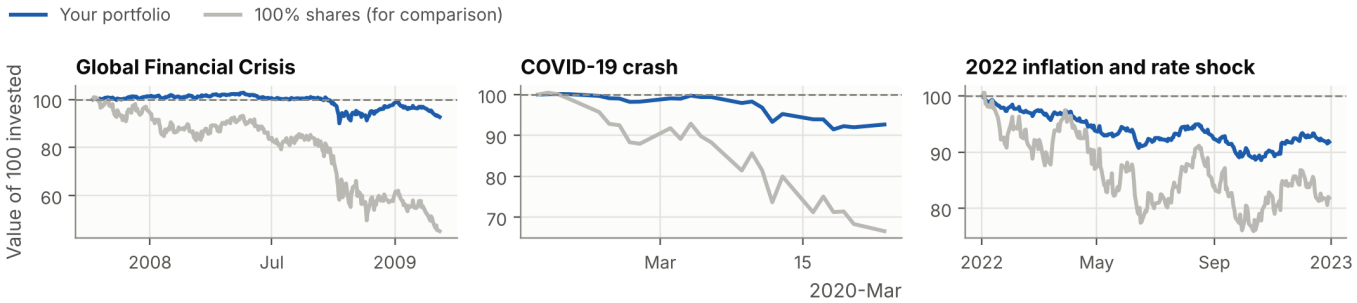
Expected return per year
4.2%
Long-term assumption, before fees

Typical yearly range
0% to +9%
About 2 years in 3 should fall in this range

Worst historical fall
-12%
Global Financial Crisis: about USD 99,000 at the lowest point; back to its previous peak in 10 months

How this portfolio would have done in past crises

Crisis	Period	Return over the crisis	Largest fall	Largest fall in USD	Time to recover
Global Financial Crisis	Oct 2007 – Mar 2009	-7.3%	**-12.4%**	-USD 99,000	10 months
COVID-19 crash	Feb 2020 – Mar 2020	-7.3%	**-8.6%**	-USD 69,000	2 months
2022 inflation and rate shock	Jan 2022 – Dec 2022	-8.2%	**-11.4%**	-USD 91,000	14 months



Value of 100 invested at the start of each crisis. 2022 is a warning: inflation pushed shares and bonds down together, so bonds gave little protection that year.

Why this mix suits you

Your attitude to risk (score 10 out of 25) points to Moderately Conservative. The maximum loss you can accept (up to 15%) limits the profile to Conservative. Because you may need to withdraw money, at least 10% is kept in cash.

This Conservative portfolio aims for the best long-term return we can expect while keeping the ups and downs within what you told us you can accept. Each part has a job: 18% in shares to drive long-term growth (they also cause most of the ups and downs); 42% in high-quality bonds to provide income and usually cushion falls in share prices; 35% in cash to keep part of your money stable and available when you need it; 5% in gold to add diversification, as gold has tended to hold its value in financial crises.

In a typical year we expect a return of about 4.2%, and in roughly two years out of three the result should fall between 0% and 9%. In the worst crisis we tested (Global Financial Crisis) this mix fell 12% at its lowest point, which is within the 15% limit for this profile. Losses like this are temporary only if you can stay invested, so please keep money you may need soon outside the portfolio or in its cash part.

For illustration only. Not investment advice. This proposal was produced by RiskFit, a student portfolio project, for a fictional client. It is not an offer or recommendation to buy or sell any security. Figures use historical ETF data as stand-ins for each asset class and ignore fees, taxes and currency effects (USD base; HKD is pegged to USD). Expected returns are assumptions, not promises. Past performance is not a reliable indicator of future results, and the value of investments can fall as well as rise.
Data: daily total-return prices of SPY, AGG, BIL, GLD from 31 May 2007 to 29 Oct 2026 (Yahoo Finance). Portfolios are rebalanced daily in the historical tests.